

Pan Africa Insurance Holdings Limited



Unaudited Group Financial Results for the half year to 30 June 2012

Head Office: Pan Africa Life House, Kenyatta Avenue | P.O. Box 10493 Nairobi 00100 Kenya
Tel: 2247600, 2781000, 2225050 | SMS helpline: 0720 632000 Fax: 2217675
Email: customerservice@pan-africa.com | Website: www.pan-africa.com
SMS hotline: 8182

1 Introduction

The Board of Directors of Pan Africa Insurance Holdings Limited (PAIHU) is pleased to announce the Group's unaudited results for the half year to 30 June 2012.

2 Key Features

- Gross premiums up by 75% to Kshs. 3.2b
- Total assets now at Kshs. 14.0b
- Pan Africa Life Embedded Value (EV) increased by 15% to Kshs. 2.1b
- Group EV increased by 4% to Kshs. 4.3b
- Capital Adequacy Requirement (Solvency) covered 1.6 times
- Value of New Business up by 72% to Kshs. 1.34m

3 Accounting policies

The Group's accounting policies comply with International Financial Reporting Standards (IFRS) as well as the Kenya Companies Act. These policies are consistent with those applied in prior years.

4 The Economic Environment

According to CBK Monthly Economic Review the Kenyan economy grew at 4.4 % in 2011 compared to 5.8% in 2010. The slowdown in growth was attributable to unreliable weather, escalating oil prices, rising inflation and a weakening shilling. According to the World Bank Kenya Economic Update (June 2012), Kenya's economy is gradually recovering from last year's shocks and is expected to grow at approximately 5% in 2012. The risks to achieving this growth remain political uncertainty, insecurity and the financial crisis in Europe.

The NSE share index at 3703 to June 2012 is 15% up on the December 2011 closing index of 3205. Inflation has continued to ease off and was at 10.05% in June 2012 compared to a high of 18.93% in December 2011. 91 day and 182 day treasury bills dropped to 10.78% and 11.09% respectively in July 2012 compared to the high of 20.79% and 20.78% respectively in January 2012. We expect these positive economic trends to continue in the second half of the year.

5 Financial Overview

The Group after tax profit at Kshs 218m is a significant improvement from Kshs 73m last year. This is attributable to a strong growth in premium income as well as an improvement in the fair value of our equities and bond portfolios following the general improvement in economic factors.

Analysis of Earnings

	Period to 30 Jun 12	Period to 30 Jun 11
Operating surplus	143	98
Investment income on shareholders' assets	9	2
Investment surplus/(deficit) on shareholders' assets	68	5
Profit before tax	220	95
Tax	(2)	(22)
Net surplus for the period	218	73

Overall, our life business has come out strongly in the 1st half of the year. Gross premium income at Kshs. 3.2b represents a growth of 75% compared to Kshs. 1.8b in June 2011. This significant growth has been supported by the acquisition of a few bulk annuity schemes. Corporate Business continues to perform well against most of our expected parameters. Individual Life sales (number of cases) are 32% up on 2011, however, our average premium is 22% lower mainly on account of high inflation witnessed in the first half of the year affecting the disposable income for many clients. Credit life has also underperformed our expectations and is 59% of 2011 following reduced borrowing because of high interest rates. We expect some improvement on these factors in the second half of the year which should result in better performance for both Individual Life and Credit Life.

We have introduced two new products in the 1st half of the year: FlexCash - an endowment product that provides for partial maturities during the term of the product and FlexAcademic Plus - an education endowment product with four equal annual payments after maturity. Our funeral product which we introduced last year to address a gap that existed in the market continues to do very well. The product offers an entire funeral benefits package to the policyholder and dependants who may include parents and parents in law.

Profits from the sale of property (included in other operating income) include profits on the disposal of two plots in Runda. We however expect to dispose another seventeen plots before the year end. The profits in 2011 were from the sale of houses in our housing development and will therefore not be repeated.

6 Dividends

Consistent with the company's dividend policy, the Board does not recommend the payment of an interim dividend.

7 Looking ahead

We will continue to focus on the development of alternative distribution channels in the second half of the year as well as expanding our agency distribution network. The development of the new administration system continues and we expect this implementation to be completed next year. The infrastructural development of Runda Phase II project is now complete and we expect to complete plot sales by December 2012.

8 Changes in Directorship

The following changes have taken place in our directorship:

Resignations

Robert Ward Resigned from the board on 15 May 2012

Appointments

Themba Gameze Appointed to the board on 21 August 2012

For and on behalf of the Board

JPN Simba (Chairman)

TM Gitogo (Chief Executive)

Directors

JPN Simba, MM Dawes*, TB Gameze*, TM Gitogo, JN Gitoho, S Muchune, BC Patel, TA Wileky*, J Wrench *.

*South African

MEMBER OF THE Sanlam GROUP

Group Income Statement

	6 Months to 30 June 2012	6 Months to 30 June 2011	Year to 31 Dec 2011
Gross written premium	Shs 000	Shs 000	Shs 000
Outward reinsurance premium	3,244,996	1,846,464	3,648,492
Net written premium	3,103,552	(182,603)	(348,437)
Investment income	678,383	302,141	697,015
Fair value gains/ (losses)	440,171	(144,900)	(895,668)
Fee and commission earned	35,695	46,265	84,589
Other operating income (including property)	62,909	112,950	664,793
Other revenue	1,217,158	316,456	550,729
Total income	4,320,710	1,980,317	3,850,784
Gross benefits and claims paid	(876,534)	(652,228)	(1,408,415)
Reinsurers' share of claims	125,626	74,379	154,142
Net change in contract liabilities	(2,609,726)	(545,981)	(622,202)
Net claims and policyholders benefits	(3,360,634)	(1,123,830)	(1,876,475)
Commission payable	(331,839)	(383,969)	(690,346)
Operating and other expenses	(407,761)	(374,313)	(733,046)
Total benefits, claims and other expenses	(4,100,234)	(1,882,112)	(3,299,867)
Profit before share of profit of associate	220,476	98,205	550,917
Share of (loss)/ profit of associate	-	(2,900)	1,518
Profit before tax	220,476	95,305	552,435
Income tax expense	(2,141)	(22,333)	(109,030)
Profit after tax	218,335	72,972	443,405
Other comprehensive income	-	-	-
Total profit and other comprehensive income	218,335	72,972	443,405
Profit attributable to:			
Equity holders of the parent	218,335	72,972	443,405
Earnings Per Share			
Basic	2.27	0.76	4.62
Diluted	2.27	0.76	4.62
Shares used for calculating earnings per share	96,000,000	96,000,000	96,000,000

Group Statement of Financial Position

	30 June 2012	30 June 2011	31 Dec 2011
CAPITAL AND RESERVES			
Share capital	480,000	480,000	480,000
Share premium	124,431	124,431	124,431
Statutory reserve	652,193	548,668	525,387
Revaluation reserves	-	7,507	-
Retained earnings	892,351	600,887	992,822
Total capital and reserves	2,148,975	1,761,493	2,122,640
ASSETS			
Intangible assets	62,213	27,204	43,950
Property and equipment	107,102	67,648	80,156
Investment property	772,613	435,600	766,618
Land and development (Inventory)	117,513	276,682	91,584
Investment in associate	15,991	10,646	12,161
Financial instruments:			
Loans	888,816	687,399	793,082
Held to maturity financial assets	4,044,181	2,306,701	2,453,528
Available for sale financial assets	3,827	3,826	3,827
Fair value through profit or loss financial assets	3,963,053	4,241,981	3,449,297
Reinsurance assets	176,052	139,410	176,052
Insurance receivables	114,543	208,829	151,530
Receivable and other financial assets	518,001	1,220,684	436,346
Deposits with financial institutions	3,358,487	1,149,106	2,807,818
Cash and bank balances	122,613	320,967	233,180
Total assets	14,265,005	11,096,683	11,499,229
LIABILITIES			
Insurance and investments contract liabilities	10,469,487	7,746,962	7,859,802
Payable under deposit administration contracts	876,759	723,114	681,547
Provisions	56,813	85,924	56,813
Current tax liabilities	2,141	17,040	73,332
Insurance payables	230,491	289,383	270,341
Payables and other charges	480,339	472,767	434,754
Total liabilities	12,116,030	9,335,190	9,376,589

Group Statement of Changes in Equity

	6 Months to 30 June 2012	6 Months to 30 June 2011	Year to 31 Dec 2011
Share capital and Share premium	604,431	604,431	604,431
Opening reserves	1,518,209	1,228,090	1,228,090
Income attributable to shareholders	218,335	72,972	443,405
Transfer to Deposit administration	-	-	(9,286)
Dividends paid	(192,000)	(144,000)	(144,000)
Balance at end of the period	2,148,975	1,761,493	2,122,640

Abridged Statement of Cash Flows

	6 Months to 30 June 2012	6 Months to 30 June 2011	Year to 31 Dec 2011
Cash generated from operating activities	2,148,674	525,212	1,009,130
Cash utilised in/ generated from investing activities	(1,516,572)	(559,858)	660,062
Cash utilised in financing activities	(192,000)	(144,000)	(276,913)
Net increase/ (decrease) in cash resources	440,102	(178,646)	1,392,279
Cash resources at the beginning of the period	3,040,998	1,648,719	1,648,719
Cash resources at the end of the period	3,481,100	1,470,073	3,040,998

Group Embedded Value

The embedded value represents an estimate of the value of the group. It excludes the value attributable to minority interests and goodwill attributable to future new business.

- a) the value of the shareholders' equity net of the cost of the Capital Adequacy Requirement (CAR); and
b) the value of the in-force business.

The value of the in-force is the present value of future profits arising from business in force at the valuation date, discounted at the risk discount rate.

	6 months 30 June 2012	6 months 30 June 2011	12 months 31 Dec 2011
Shareholders' equity, excluding goodwill	2,149,099	1,761,493	2,122,640
Fair Value Adjustments to Net Assets	942,401	966,505	954,711
Deferred tax adjustment on Net Assets	(195,658)	(164,642)	(157,616)
Net value of in-force	1,428,983	1,176,969	1,239,494
Gross value in-force	2,317,912	1,868,225	1,985,781
Tax provision	(695,374)	(560,468)	(595,734)
Cost of CAR	(193,555)	(130,789)	(150,553)
Embedded value at end of period	4,324,826	3,740,325	4,159,229

Embedded value earnings

Embedded value at end of period	4,324,826	3,740,325	4,159,229
Embedded value at beginning of period	4,159,229	3,748,209	3,748,209
Change in embedded value	165,597	(7,884)	411,020
Transfer from shareholders	-	-	9,287
Dividends paid	192,000	144,000	144,000
Embedded value earnings	357,597	136,116	564,307

These earnings can be analysed as follows:

Roll forward	131,518	78,755	156,216
Investment return on free assets	9,260	25,291	32,495
Expected return on life business in force	122,258	53,464	123,721
Change over the period	226,079	57,361	408,091
Value of new business at end of period	140,554	81,682	183,245
Value at point of sale (gross of tax)	240,474	125,711	266,726
Tax on value at point of sale	(72,142)	(37,713)	(80,018)
Cost of Capital on New Business	(33,475)	(9,544)	(19,915)
Expected return to end of year	5,697	3,228	16,452
Change in assumptions and methodology	48,499	37,104	97,570
Experience variations	(44,442)	(62,574)	(241,006)
Increase in NAV for other subsidiaries & associates	81,468	1,149	368,282

Total earnings

Value of new business at point of sale	357,597	136,117	564,307
Recurring premium	134,857	78,453	166,793
Single premium	14,867	33,757	19,968
Cost of CAR	153,465	54,240	166,740
Value of new business at point of sale	134,857	78,454	166,794
Individual Life Business	580	20,688	(2,675)
Corporate Business	167,752	67,310	189,384
Cost of CAR	(33,475)	(9,544)	(19,915)

Assumptions

The main assumptions used are as follows:

1. Economic assumptions	% p.a	% p.a	% p.a
Risk discount rate	18.0	17.5	20.7
Overall investment return	13.2	12.0	15.4
Expense inflation rate	10.0	9.5	12.7

2. Other assumptions

The assumptions for future mortality, persistency and premium escalation were based on recent experience adjusted for anticipated future trends.

a) Changes in assumptions and methodology

Expenses	-	(49,502)	(70,835)
Mortality	(2,562)	158	46
Persistency	102	293	(31,586)
Data and methodology changes	6,525	(6,951)	(14,801)
Total operational	4,065	(56,002)	(117,176)
Investment return	(120,777)	467,172	690,024
Risk discount rate	165,211	(374,066)	(475,278)
Total	48,499	37,104	97,570

b) Experience variations

Mortality and morbidity	(16,337)	24,238	(34,654)
Persistency	(78,106)	(11,857)	(74,039)
Expenses and commission	(28,398)	(54,262)	(44,928)
Tax Variations	(4,952)	(29,921)	(9,670)
Other	6,506	30,853	(109,471)
Total operational	(121,287)	(40,949)	(272,762)
Investment variances	76,845	(21,625)	31,756
Total	(44,442)	(62,574)	(241,006)

c) Fair value adjustments

Adjustment to fair value of subsidiary	942,401	966,505	954,711
Increase in NAV for other subsidiaries	81,468	1,149	368,282

NAV Increase for other subsidiaries & associates